Akums Drugs & Pharmaceuticals Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

India's largest contract drug maker (CDMO): it makes tablets, capsules, syrups, injections and more for over 1,500 pharma brands, including 26 of India's top 30, with about 30% of India's outsourced formulation market. Smaller arms: its own branded medicines (mostly gynaecology and heart), branded exports, drug ingredients (API) and trade generics. Listed August 2024.

Number	Value	What it means
Market cap	Rs 12,125 cr	What the market says the whole company is worth.
Q2 FY27 revenue	Rs 1,342 cr	Sales for the quarter to Sep 2026, up 31.9% on a year ago.
Q2 FY27 EBITDA	Rs 195 cr at 14.5%	Operating profit more than doubled from Rs 94 cr; margin was 9.3% a year ago.
Q2 FY27 profit	Rs 115 cr	Up 168%.
Cash	Rs 1,680 cr	Large cash pile, much of it the advance from the European contract.
Stock P/E	96.6x (standalone)	Very pricey on Screener's standalone figure; less so on group profit, but still rich.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY25 (first call after listing)	30 Aug 2024	Yes
Q2 FY25	11 Nov 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	27 May 2025	Yes
Q1 FY26	11 Aug 2025	Yes
Q2 FY26	14 Nov 2025	Yes
Q3 FY26	16 Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	3 Nov 2026	Yes, latest call read in full ★

Every call since listing, ten in all, about two and a quarter years.

Latest concall highlights: Q2 FY27 (call held 3 Nov 2026)

- Revenue Rs 1,342 cr (+31.9%), EBITDA Rs 195 cr (+106%), profit Rs 115 cr. CDMO revenue +38.6% with volume growth above 20% for a fourth straight quarter.
- Plants now run at above 50% use. A second Baddi plant (6 billion tablets in phase 1) starts within three to four months; two Oriflame cosmetics plants were bought and integrated.
- Zambia: purchase orders for the first $25 million received; goods ship in Q4 FY27 but revenue lands in Q1 FY28 because of the long sea journey. The Zambia plant itself slips to 2029.
- Europe (the EUR 200 million contract signed in early 2025): dossier filed, approval expected in one or two quarters, supplies from FY28.
- Own-brand India sales up only 8%, margin hurt by 200 new sales reps; API still losing about Rs 5 cr a quarter, breakeven hoped for in three to four quarters.

Business mix & capacity

Domestic vs export: Overwhelmingly domestic: the CDMO business serves Indian pharma, and about 90-92% of API sales are in India. Branded exports are small (Rs 44 cr this quarter) but growing fast.

Capacity use: Above 50% utilisation across about 51 billion units of annual tablet capacity; new Baddi plant adds 6 billion, later 12 billion.

3. Earning Trigger thesis

The trigger is the core contract-manufacturing business: after a weak FY25 of falling drug-ingredient prices and flat volumes, volumes have grown above 20% for four quarters and newer plants are filling up, so margins jumped on operating leverage. Two named contracts (Europe from FY28, Zambia revenue from Q1 FY28) are the next leg, both already late against their first dates.

Trigger	What management said	Evidence so far	Time horizon	Strength
CDMO volume and utilisation	Strong order book, about 60 days visibility	Volumes +20% for four quarters; CDMO EBITDA doubled	Now	Strong
European contract (EUR 200 mn)	Supplies from FY28	Dossier filed; approval in one or two quarters	FY28	Moderate
Zambia JV and orders	First $25 mn this year; plant CY2028	Revenue now Q1 FY28; plant 2029	FY28-29	Moderate: slipping
API turnaround	Breakeven in three to four quarters	Still losing about Rs 5 cr a quarter	FY28	Weak: repeatedly promised

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	
New business	Yes	Zambia purchase orders received; cosmetics plants bought from Oriflame (3 Nov 2026)
Margin up	Yes	EBITDA margin 14.5% against 9.3% a year ago, on utilisation of newer facilities (3 Nov 2026)
New management	No	
New capacity	Yes	New Baddi plant, 6 billion tablets in phase 1, fully operational by Q1 FY28 (3 Nov 2026)
Big orders	Yes	EUR 200 mn European contract, supplies from FY28; $25 mn Zambia order in hand (3 Nov 2026)
Turnaround	Yes	CDMO recovery after FY25's flat year; trade generics EBITDA positive three quarters running (3 Nov 2026)
Promoter buying	No	

The single concrete driver: Contract-manufacturing volumes growing above 20% a year on newer plants that are filling up, with a European contract and Zambia orders due from FY28.

3c. Margin bridge

EBITDA margin is 14.5% against 9.3% a year ago. Higher volumes through new plants (operating leverage), firmer API prices and trade generics turning profitable did it, partly offset by spending on sales reps in branded India. Management expects volume growth to hold (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2025	European supplies from 2027 after approvals by end 2026	Dossier filed; supplies FY28	Partly
Nov 2025	Zambia plant production in CY2028	Now 2029	Missed
Aug 2026	Zambia orders reflect in FY27	Revenue booked Q1 FY28	Missed
	Curtail API losses	Losses lower but still there	Partly

Period	What was promised	What actually happened	Verdict
FY25 onward			
FY25 onward	Cut trade generics losses	EBITDA positive three quarters	Delivered
Q2 FY26	Demand recovery, H2 better	CDMO volumes above 20% for four quarters	Delivered

Narrative drift: The core story (largest Indian CDMO, add plants, add exports) is steady. The new pieces keep landing a quarter or two later than first said, and API breakeven has been 'next few quarters' for two years.

5. Bottom line

Durable earning trigger? → YES

The CDMO recovery is real and in the numbers: four quarters of 20%+ volume growth and margins up five points. Europe and Zambia add a second leg from FY28 if approvals land.

Management consistent? → MAYBE

Delivered on the core recovery and on trade generics, but Zambia, the European start and API breakeven have each slipped.

6. Checkpoints for next quarter

- European dossier approval arrives in the next one or two quarters
- Zambia goods ship in Q4 FY27 as promised
- New Baddi plant starts production on time

This is not investment advice. Do your own due diligence.